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The main roadblock to further GST reforms is the apprehension of revenue loss in both the central and state governments

TOWARDS A LESS TAXING GST

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► **GOODS AND SERVICES TAX** (GST) was introduced in India in July 2017 to improve both production and consumption efficiency. The pre-GST system of domestic indirect taxes was characterised by multiplicity of taxes, multiplicity of rates for the same tax, cascading of taxes, undue emphasis on the origin principle of taxation, and fragmentation of a genuine all-India common market.

However, GST 1.0 was only partial. Some important goods were left out of its purview, including alcoholic products for human consumption, electricity, and petroleum products. It continued to have multiple rates, which also kept on changing through various GST Council meetings. A compensation cess, now discontinued, was introduced to facilitate the transition.

India's GST is still an incomplete story. A large share of sales pertaining to petroleum products, agricultural products, electricity, and real estate remains outside the purview of GST. In terms of revenue importance, the share of taxa-

tion of petroleum products and alcoholic beverages by central and state governments amounted to 60.8% of GST revenues, excluding compensation cess, in FY20. In FY24, this share was 50.8%. If we look at the share of value-added tax (VAT) on petroleum products and state excise duties in State GST (SGST) revenues, it amounted to 67.9% in FY24.

The main roadblock to further reforms in the GST structure arises due to the apprehension of both central and state governments that they would lose revenue autonomy, given the relative importance of revenues from taxation of petroleum products and alcoholic beverages.

To ensure revenue autonomy to central and state governments, petroleum products and alcoholic beverages can be included in the GST framework by subjecting these goods to a non-rebatable levy. In the case of central GST (CGST), this could be an excise tax, and in case of states, this could be VAT or sales tax. Both of these should be made non-rebatable. This would amount to integrating environmental and demerit taxes in GST through the mechanism of a